UNDERSTANDING CRYPTO TRADING BASICS

A Simple Guide to Candlestick Patterns and Key Levels

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INTRODUCTION

Crypto trading is simply buying and selling of digital money (coins or tokens) just like people buy and sell goods in the market.

The only difference is that instead of tomatoes or yams, here we're dealing with Bitcoin, Ethereum, SOLANA, PI, TON, and many others.

The whole idea is simple: You buy when the price is low. You sell when the price is high. That difference is your profit.

But… it's not always that easy. The market moves fast. One minute price is up, next minute it's down. That's why you need basic understanding before rushing in.

Think of trading like learning how to drive. You don't just jump into the car and press the accelerator without knowing the steering or the brakes. Same thing here — you need to know the signs (bullish and bearish candles), the road rules (market trends), and how to manage speed (your money).

By the end of this short guide, you'll know how to spot the signals and avoid silly mistakes that make people lose money.

This is not financial advice, but a guide to help you understand market signals better.

CANDLESTICK BASICS

A candlestick is basically a picture of what price did in a given time (1 minute, 1 hour, 1 day — whatever timeframe you're looking at).

Green Candle (Bullish): It means buyers were stronger, price closed higher than its opening price.

Red Candle (Bearish): It means sellers were stronger, price closed lower than it opening price.

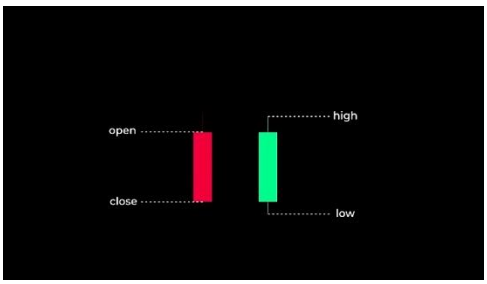
A candle shows you four things at once:

Open → the price where that time period started.

Close → the price where that time period ended.

High → the highest price reached during that time.

Low → the lowest price touched.



Anatomy of a Candle:

Body: The thick part (open → close).

Wicks: Thin lines above & below the body.

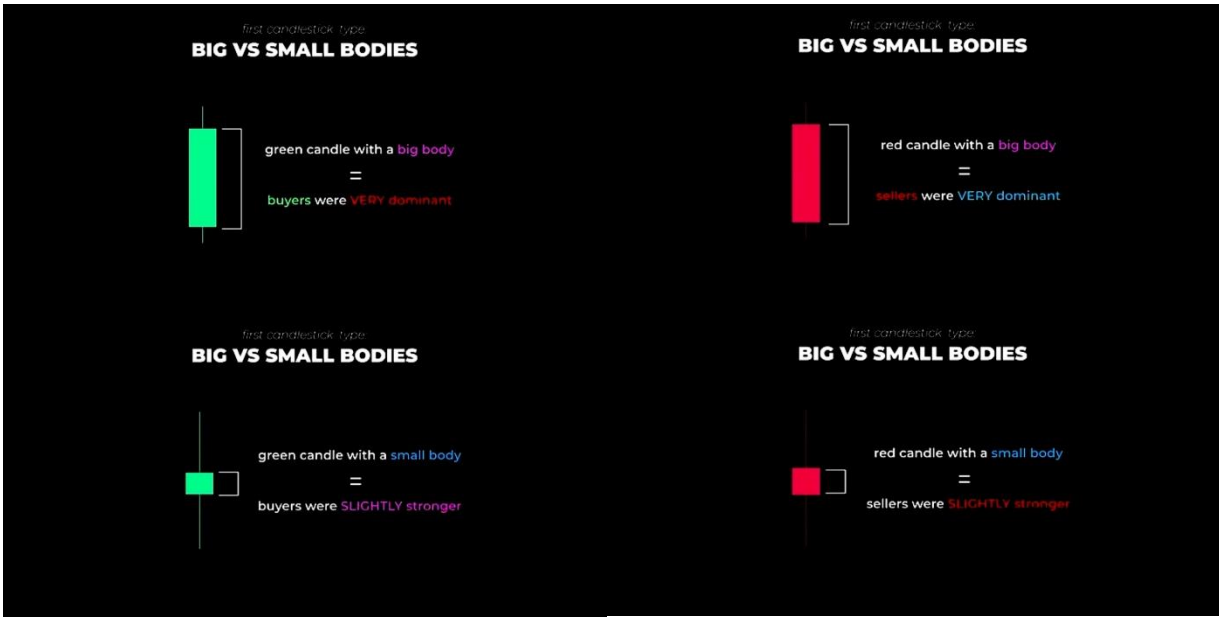
Top of wick: High.

Bottom of wick: Low.

TYPES OF CANDLESTICK SHAPES

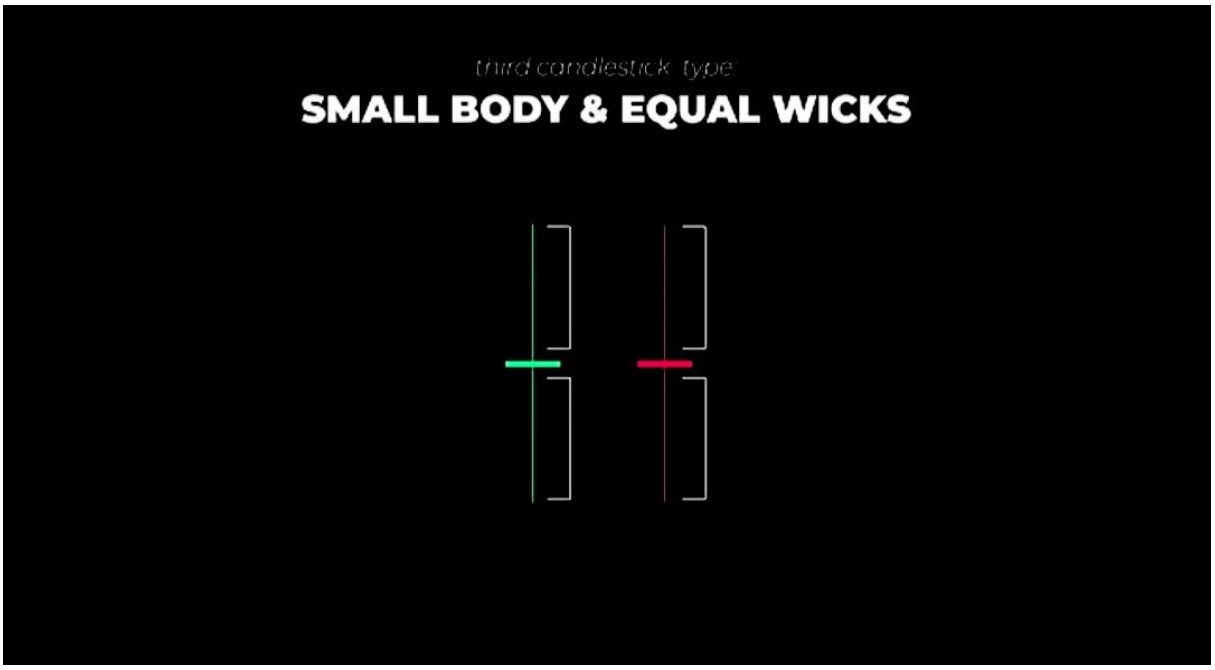
Candlestick comes in various shapes. Some have larger bodies, some have longer wicks on one side, and others have small bodies with short wicks. Each of these shapes gives us unique information about price movement and understanding this is essential for price action traders to analyse the market more accurately.

- **Big Bodies vs Small Bodies:**



- **Large Wick on One Side:**

- **Small Body and Equal Wicks:** If a candle have small body and equal wicks, it indicate that neither the buyers nor sellers are in control.

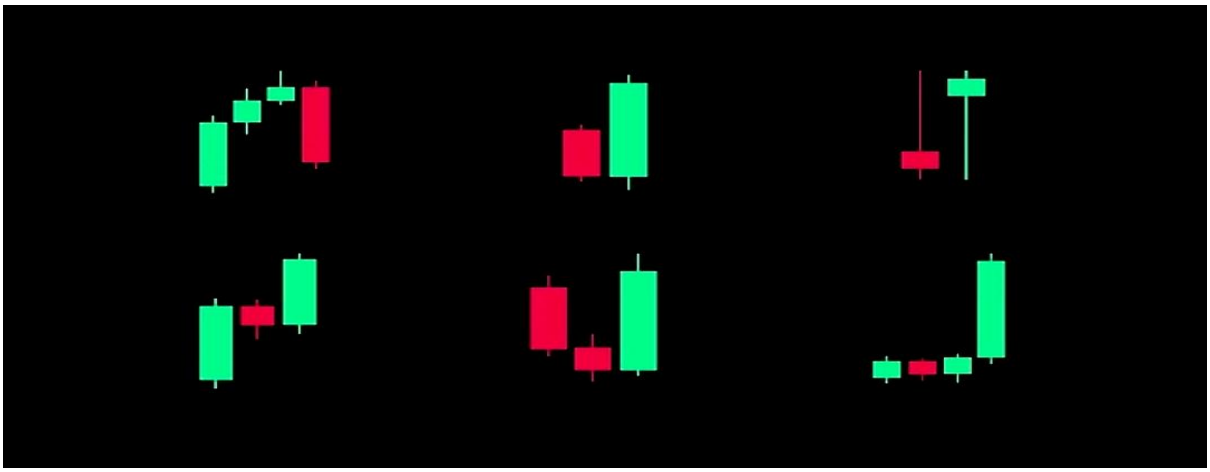


CANDLESTICK PARTNERS

Patterns are little clues in the candlestick shape that hint at who's winning the market between buyers and sellers, and what might happen next. There two types of patterns:

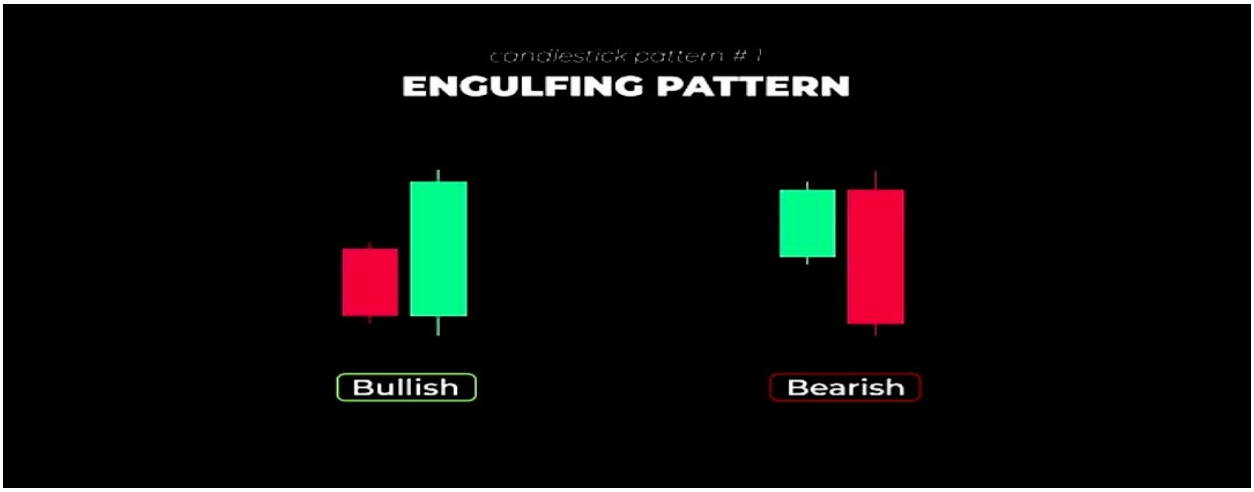
Bullish Signal: On the buy side, these are signs that buyers are stronger and sellers.

Bearish Signal: On the sell side, these are signs that sellers are stronger and buyers.



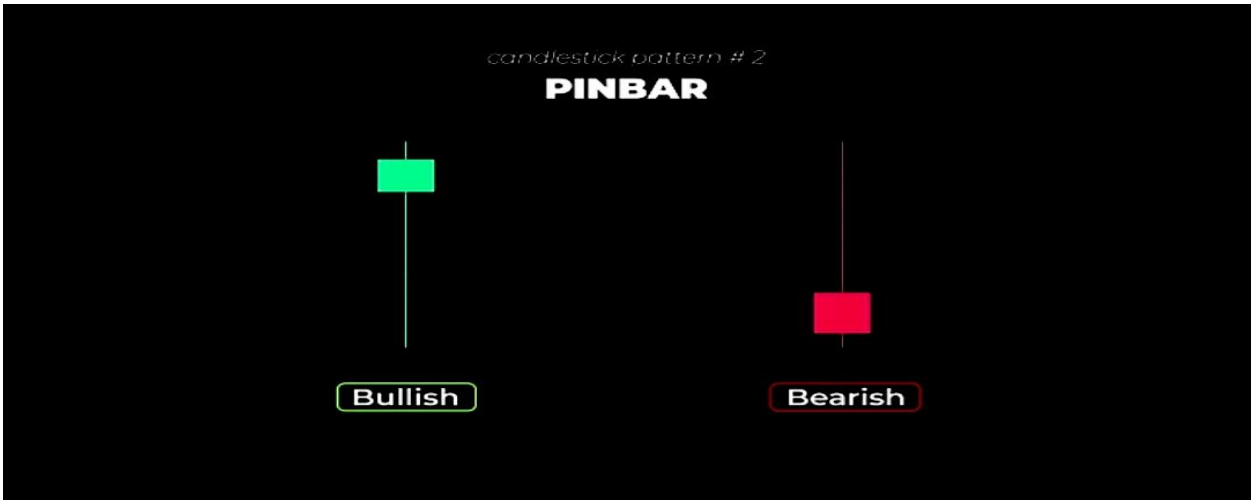
Examples of Bullish and Bearish Patterns

1. **Engulfing Pattern:** The engulfing pattern is made up of two candles, a smaller first candle followed by a larger candle of the opposite colour. The key point is that the body of the second candle needs to fully cover the body of the first candle.



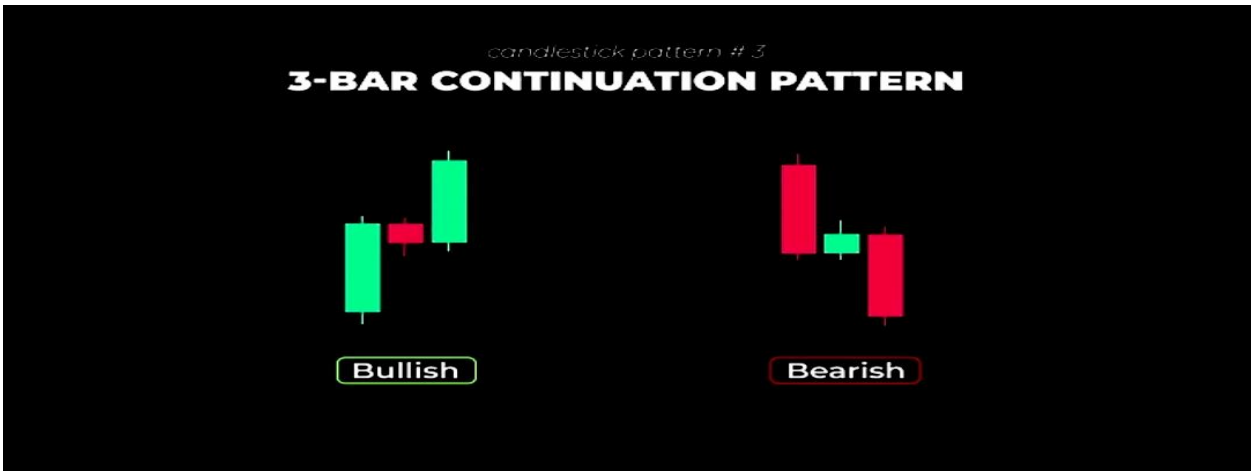
It shows a momentum shift in favour of buyers or sellers.

2. **Pinbar Pattern:** A pinbar is made up of just one candle. It is characterized by a large wick on one side and small body. In a bullish pin bar, the wick is below the body, indicating a potential reversal to the upside. In a bearish pin bar, the wick is above the body, suggesting a potential reversal to the downside.

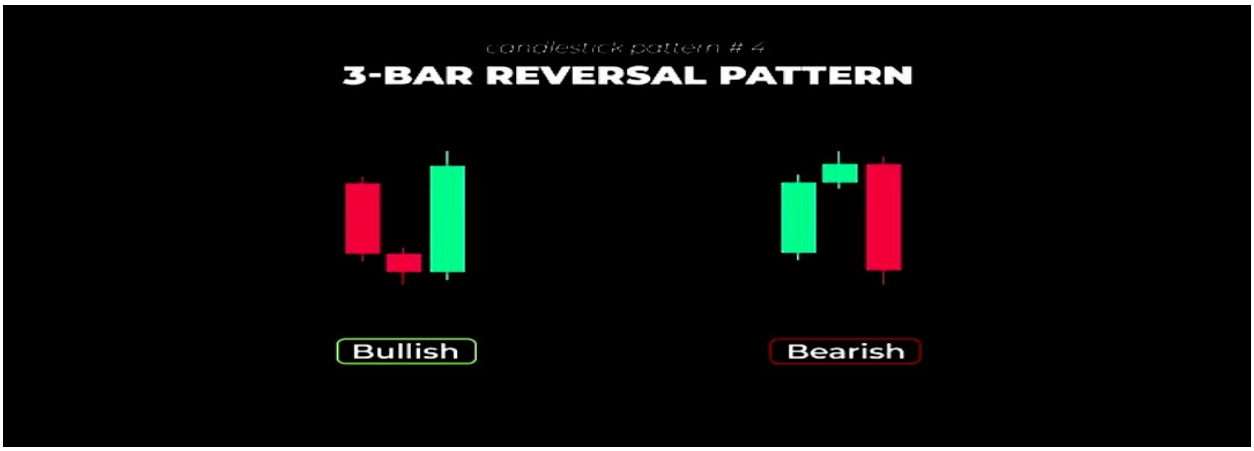


It signals a potential reversal in price direction.

3. **3-Bar Continuation Pattern:** This pattern consists of three consecutive candles that needs to form in sequence. First candle: bigger than and average candle. Second candle: smaller but opposite colour. Third candle: larger body closing higher or lower than the second candle.



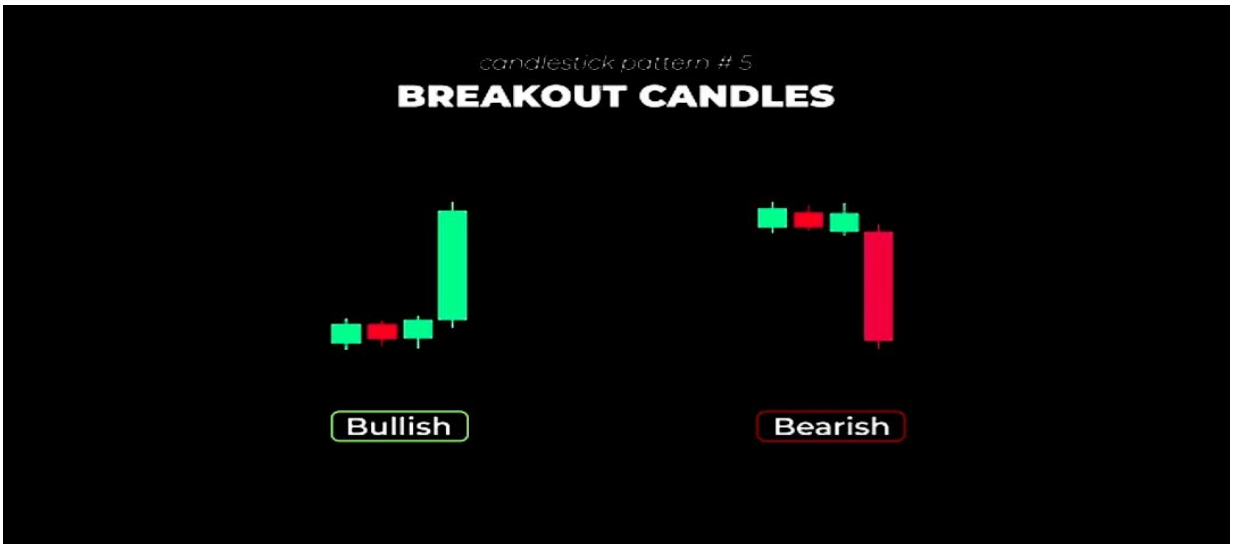
4. **3-Bar Reversal Pattern:** This pattern consist of a sequence of three candles. The first candle: larger with nearly full body. The second candle: smaller body but same colour as the first. The third candle: larger with a full body of opposite colour.



The size of the third opposite colour candle affect the success rate of this pattern.

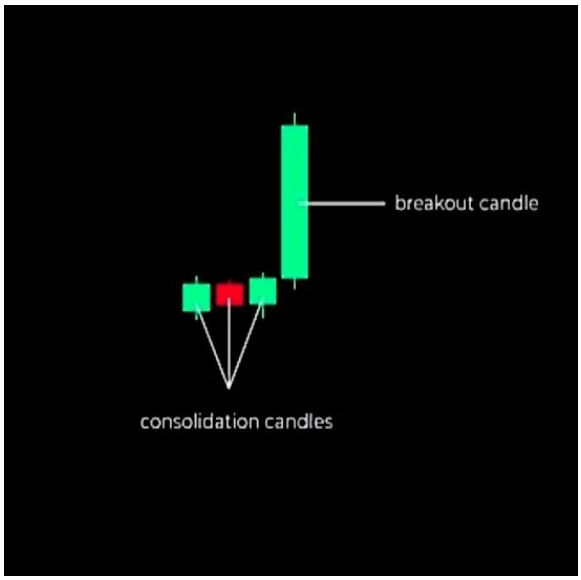
- If the third candle body is equal to or higher than the first candle → higher success rate.
- If the third candle body is smaller than the first candle → lower success rate.

5. **Breakout Pattern:** this pattern consist of multiple small candles followed by a large body candle. Department shoes that the price was stagnant for a while with no clay direction, until one side pushed the prIce significantly upward or downward.



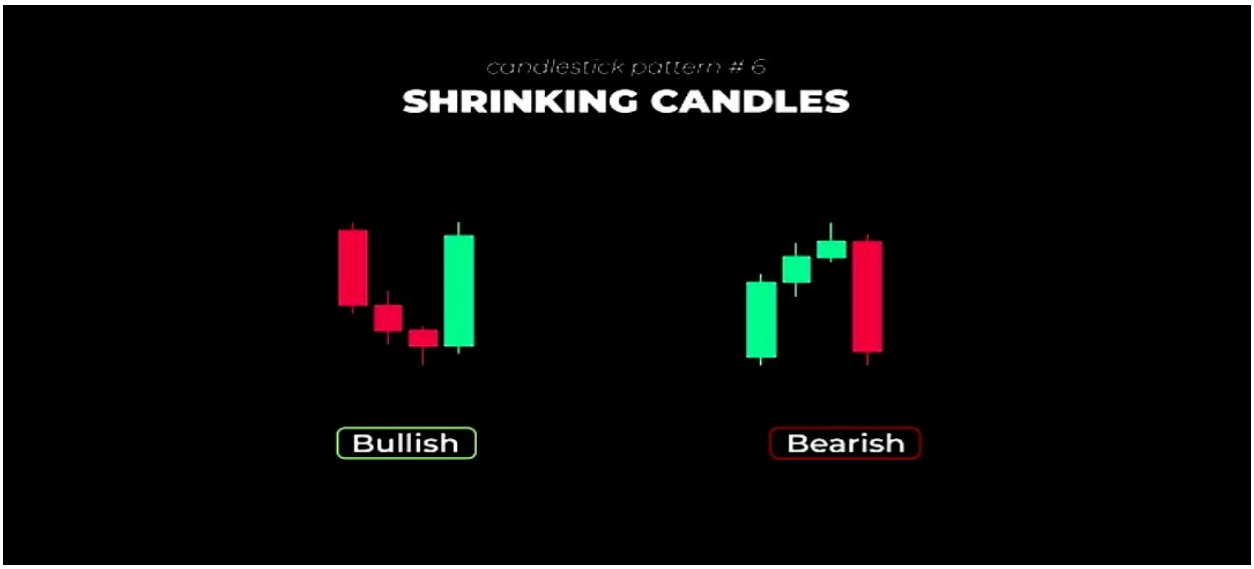
→ This series of small candles are called CONSOLIDATION CANDLES.

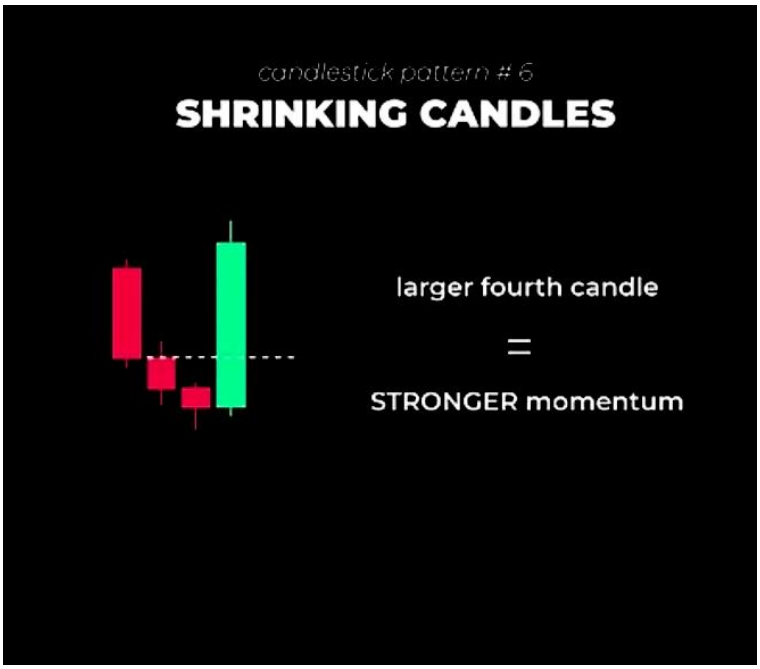
→ The large candle is the BREAKOUT CANDLE.



For a valid pattern, There needs to be three or more consolidation candles. The colour of the consolidation candles is not important what matter is that they are small in size.

6. **Shrinking Candles Pattern:** a pattern that consists of at least three consecutive candles of the same colour, each getting smaller followed by a large candle of the opposite colour. This pattern suggests that the trend is gradually weakening as indicated by the strength candle. Then a large candle appears confirming the reversal.





The size of the fourth candle affects the likelihood of reversal.

Larger fourth candle → stronger reversal momentum.

We've looked at six key candlestick patterns and what they mean in the market. Each of them can signal possible shifts in momentum, but remember:

No candlestick pattern works effectively in ion it own. To increase accuracy, always combine them with:

→ Key Levels like Support/Resistance zones,

→ Dynamic trend lines and

→ Higher time frame confirmation.

Think of candlestick patterns as clues in the bigger picture. When used with other tools, they can help you spot stronger and higher-probability setups.

SUPPORT & RESISTANCE

When you hear traders say support or resistance, don't overthink it. It's really this simple:

Support → a price level where buyers usually step in and push the price back up.

Resistance → a price level where sellers usually step in and push the price back down.

Support is where the fall stops, Resistance is where the climb pauses.

How To Spot Support & Resistance

- Use higher timeframe → 1H, 1D, 1W... etc.
- Look for repeated bounce points → support.
- Look for repeated rejections → resistance.

The more times a level is tested, the stronger it becomes.

Markets leave footprints—support & resistance are the trails to follow.

WHY SUPPORT AND RESISTANCE MATTER

Support = good potential entry zones.

Think of it as a “buying floor” where price often finds stability.

Resistance = potential exit zones.

Like a “selling ceiling” where price often struggles to push higher.

But beware: Markets can break through these levels → this is called a breakout. Breakouts often create new support or resistance zones.

Spot them, respect them, but never assume they’ll hold forever.

To Combine Candlesticks with Key Levels:

1. Identify Key Levels First:

Mark out important support (demand zones) and resistance (supply zones) on your chart.

These are areas where price has previously reversed.

2. Wait for the Candlestick Signal at That Level

Example: At support, if you see a bullish engulfing or pinbar pattern, that's buyers stepping in. At resistance, if you see a bearish engulfing or pinbar pattern, that's sellers rejecting higher prices.

3. Confirmation is Crucial: Don't jump in the moment the candle forms. Wait for the next candle to close in the same direction as the signal. This confirms that the market agrees with what the pattern suggests.

4. Look at the Higher Time Frame: If a bullish signal forms at support on the 1H chart, check the 4H or daily to make sure the bigger trend doesn't contradict it. Signals are stronger when they align with the higher timeframe trend.

5. Entry + Stop Loss Placement: Enter after confirmation. Place stop-loss below support (for buys) or above resistance (for sells) so you're protected if the pattern fails.

Example in Action

Step 1: Price comes down to a key support zone.

Step 2: A 3-bar reversal candle forms, but you wait for...

Step 3: The next candle closes bullish above the first candle → now you've got confirmation.

Step 4: You enter long, stop-loss below support, aiming for the next resistance zone.

This way, you're not trading just a candlestick. You're trading a candlestick at a meaningful level, with confirmation, which is far more reliable.

DISCLAIMER

Trading is about patience and discipline.

No signal is 100% accurate.

You’re Encourage to practice before risking real money.

INVESTMENT IN CRYPTO ARE RISKY